

We can find no evidence that at any time from 1926 to date common-stock investors as a class have sold their holdings because the price-earnings ratios were too high.

How the present practice of common-stock investors, including the investment trusts almost without exception, can properly be termed *investment*, in view of this virtual absence of controlling standards, is more than we can fathom. It would be far more logical and helpful to call it “speculation in stocks of strong companies.” Certainly the results in the stock market of such “investment” have been indistinguishable from those of old-time speculation, except perhaps for the margin element. A striking confirmation of this statement, as applied to the years after the 1929 crash, is found by comparing the price range of General Electric since 1930 with that of common stocks generally. The following figures show that General Electric common, which is perhaps the premier and undoubtedly the longest entrenched investment issue in the industrial field today, has fluctuated more widely in market price than have the rank and file of common stocks.

**Price Ranges of General Electric Common, Dow-Jones Industrials,
and Standard Statistics' Industrial Stock Index, 1930–1939**

Year	General Electric		Dow-Jones Industrials		Standard Statistics Industrials ¹	
	High	Low	High	Low	High	Low
1930	95 ³ / ₈	41 ¹ / ₂	294.1	157.5	174.1	98.2
1931	54 ³ / ₄	22 ⁷ / ₈	194.4	73.8	119.1	48.5
1932	26 ¹ / ₈	8 ¹ / ₂	88.8	41.2	63.5	30.7
1933	30 ¹ / ₄	10 ¹ / ₂	108.7	50.2	92.2	36.5
1934	25 ¹ / ₄	16 ⁷ / ₈	110.7	85.5	93.3	69.3
1935	40 ⁷ / ₈	20 ¹ / ₂	148.4	96.7	113.2	72.8
1936	55	34 ¹ / ₂	184.9	143.1	148.5	109.1
1937	64 ⁷ / ₈	34	194.4	113.6	158.7	84.2
1938	48	27 ¹ / ₄	158.4	99.0	119.3	73.5
1939	44 ⁵ / ₈	31	155.9	121.4	118.3	86.7

¹ Weekly indexes of prices (1926 = 100) of 350 industrial issues in 1939 and 347 issues in earlier years.